RFP NO. DE-RP96-26PO00001

EXCHANGE OF UP TO 86 MILLION BARRELS OF CRUDE OIL FROM THE STRATEGIC PETROLEUM RESERVE

Questions & Answers

1. Question: For the West Hackberry sour barrels to be returned to Big Hill as U.S. Produced sweet barrels, how will quality differential be indexed/assessed?

   Answer: Quality differential for all U.S. Produced sweet barrels will be indexed off the approved U.S. Produced sweet submitted and approved on the C-1.2. The C-1.2 for Big Hill sweet returns will be due no less than ninety (90) days before the Return Period commences.

2. Question: The RFP notes that all Returns will need to be prorated across the return period, but how will that work if the total owed is 1MMB + premium with the return periods as currently stated?

   Answer: The goal of the Emergency Exchange Release is to get barrels onto the market. The DOE will work with all awardees on a mutually beneficial return period expectation. The intention of the language found in the RFP is so that Contractors understand that Returns should not have an expectation of being back dated to the final 30/60/90 days of a 12+ month period. Cargo sizes into the SPR will be in accordance with the RFP.

3. Question: It seems from the tender that letters of credit are required for both offer and performance guarantees; however, are surety bonds or parent company guarantees acceptable?

   Answer: An Offer Guarantee Letter of Credit and a Payment and Performance Letter of Credit are required per B.5.d, L.5(b)(5), and M.3.f of the Request for Proposal (RFP).

4. Question: On the SBLC template, there is no section to include an offer number should we submit multiple offers. Can you confirm if we should manually insert an offer number in the SBLC ourselves? The RFP guidelines doesn't specify but if submitting multiple offers, will we need to post SBLC for each offer?

   Answer: Amendment 0001 to the RFP has been issued and includes information to address this question.

5. Question: The Payment and Performance Guarantee Letter of Credit could possibly have a tenor of more than 1 year. As this is the case, would you accept an sblc with an evergreen clause?

   Answer: Amendment 0001 to the RFP has been issued and includes information to address this question.

6. Question: Would we be able to post multiple sblc's to cover the required quantity under the Payment and Performance Guarantee?

   Answer: Amendment 0001 to the RFP has been issued and includes information to address this question.

7. Question: If a Letter of Credit is issued and a few months later we would like to replace it with another Letter of Credit from another qualified issuing bank, would the DoE provide beneficiary consent to cancel the original Letter of Credit provided the DoE already has the replacement Letter of Credit in place?

   Answer: DOE may provide consent to substitute a letter of credit if requested. The request would be reviewed and coordinated with the specific Contractor if approved by DOE.

8. Question: Can an offer be made conditional on receiving a Jones Act Waiver to move BM crude oil from Texas City to Corpus?

   Answer: Refer to RFP Section L, Paragraph L.5(b)(1).

9. Question: Is the required expiration date at least 30 calendar days after the date set for the receipt of offers (per Section L, Page L-5), or at least 60 days per Exhibit I (Section J, Page J-46)?

   Answer: Amendment 0002 to the RFP has been issued and includes information to address this question.

10. Question: Can you tell me if there will be an updated PIANO available for the Sweet bbls to be released out of Bayou Choctaw?

    Answer: A PIANO representing the Bayou Choctaw Sweet stream is currently under analysis. The SPR will publish those PIANO results once they are official.

11. Question: How is the return period determined? Can an offeror provide a recommended return period?

    Answer: The goal of the Emergency Exchange Release is to get barrels onto the market. The DOE will work with all awardees on a mutually beneficial return period expectation. The intention of the language found in the RFP is so that Contractors understand that Returns should not have an expectation of being back dated to the final 30/60/90 days of a 12+ month period. Cargo sizes into the SPR will be in accordance with the RFP.

12. Question: Can an offeror only bid on volume in one month of the exchange period (April or May)?

    Answer: The Offer Form, Exhibit A.1, has a field titled "Receipt Month from SPR". The tables in Section B inform Offerors of the volumes available per month.

13. Question: The volume for each line item on the offer form must be at least 1 MMB.

    Answer: In accordance with section B.1(d), the minimum offer quantity is 1,000,000 barrels.

14. Question: How will the re-delivery schedule / nomination work if we have to re-deliver ratably and the receipt terminal is full?

    Answer: The goal of the Emergency Exchange Release is to get barrels onto the market. The DOE will work with all awardees on a mutually beneficial return period expectation. The intention of the language found in the RFP is so that Contractors understand that Returns should not have an expectation of being back dated to the final 30/60/90 days of a 12+ month period. Cargo sizes into the SPR will be in accordance with the RFP.

15. Question: Why did you choose not to release Sour volumes at Bayou Choctaw?

    Answer: Bayou Choctaw sour is not being offered at the present time. The streams and volumes on offer are identified in Section B of the RFP.

16. Question: How is Minimum Premium Rate(s) defined?

Answer: Minimum premium rate is defined as the minimum amount of premium oil, identified as percentage owed to the SPR when returns are made.

17. Question: How is Additional Premium Rate(s) defined?

    Answer: This rate is Offeror provided and is to be added to the minimum premium rate. The minimum premium rate, plus additional premium value, will determine the total premium owed to the SPR.

18. Question: Can the Additional Premium Rate be a negative number?

    Answer: Please refer to Section L.5(b)(1)(e).

19. Question: Can Offerors take receipt of Sour and make delivery of Sweet at the same site?

    Answer: The volumes, streams, and sites offered are identified in Section B of the RFP. The SPR will not accept deviations from the items or delivery presently specified.

20. Question: Can Offerors take receipt of Sour and make delivery of Sweet at a different site?

    Answer: The volumes, streams, and sites offered are identified in Section B of the RFP. The SPR will not accept deviations from the items offered. Note that in this RFP, only Big Hill will be accepting U.S. Produced sweet for 10MMB of West Hackberry sour returns. Details are in Section B of the RFP.

21. Question: In prior SPR RFPs there was a Pricing Section, but there is no Pricing Section here.

    Answer: Section B.5 explains consideration of offers. Additional Premium is Offeror provided.

22. Question: Will the Offerors be granted a Jones Act Waiver upon request?

    Answer: As of this time, there is not a Jones Act Waiver in place.

23. Question: How will the Value of the Oil be determined for the Letter of Credit?

    Answer: Amendment 0002 to the RFP has been issued and includes information to address this question.

24. Question: Can oil acquired through the exchange be exported? What about Chinese companies?

    Answer: In accordance with Pub. L. 114-113, div. O, title I, §101 (42 U.S.C. 6212a), generally, the Federal Government shall not impose a restriction on the export of crude oil. That provision, however, expressly preserves certain statutory or regulatory limitations, such as laws that impose sanctions on a foreign person or foreign government.

    In addition, certain appropriations laws restrict transactions with Chinese companies and entities of concern. Further, the Department's regulations on exchanges, such as 10 CFR 626.7, provide that "DOE shall evaluate and select bids that best support national energy security goals," among other factors.

25. Question: Exhibit I, Offer Guarantee Standby Letter of Credit, includes the following statement: "The information to be included in each transfer will be as provided in the above referenced Request for Proposal." There is no information in the RFP. Please provide.

    Answer: The information is:

    U.S. Treasury (Federal Reserve Bank New York)
    ABA No. 021030004
    Account No. 89000001, U.S. Department of Energy
    (Please include your company name and invoice number with the wire transfer)

26. Question: In the Offer Form (Exhibit A.1), Beaumont Terminal is not listed as a location on the form, despite being mentioned in the exchange agreement as a return location for Big Hill Sweet.

    Answer: The Location block on the Offer Form is intended to be used for outgoing deliveries of SPR crude oil, not for the return of crude oil to the SPR. Beaumont Terminal is not included as a location choice since Big Hill is not an outgoing site. The Return Site block is intended to be used to annotate the choice of site location for West Hackberry returns (see NOTE 3 on form).